

Statistical Data Analysis

Lecture 9: Nonparametric methods part II

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Periods 4 & 5

Chapter 6: Nonparametric methods

 Section 6.1 – The one-sample problem

- › Section 6.2 – Asymptotic efficiency
- › Section 6.3 – Two-sample problems
- › Section 6.4 – Tests for correlation

 Chapter 7: Analysis of categorical data

Asymptotic Relative Efficiency

Recall – Asymptotic Efficiency

- › Statistical problem for $X_1, \dots, X_n \stackrel{i.i.d.}{\sim} F$
 - › Test $H_0 : F \in \mathcal{F}_0$ (e.g. class of all distributions with median m_0)
 - › Reformulate to location shifts $H_0 : \theta \leq 0$ vs. $H_1 : \theta > 0$
 - › Power $\pi(\theta) = \pi(F_\theta) = \mathbb{P}_\theta(H_0 \text{ is rejected})$
- › For an asymptotically normal test statistic T_n
 - › Asymptotic mean, standard deviation $\mu(\theta), \sigma(\theta)$.
 - › $\sqrt{n} \frac{T_n - \mu(\theta)}{\sigma(\theta)} \rightsquigarrow N(0, 1)$.
 - › If $\theta_n = h/\sqrt{n}$

$$\text{power} \stackrel{\text{large } n}{\approx} 1 - \Phi\left(\xi_{1-\alpha} - \frac{\mu'(0)}{\sigma(0)} \cdot h\right)$$
 - › $\mu'(0)/\sigma(0)$ is also called the slope of the test
 - › When h increases, the power increases faster when slope is larger
 - › A smaller test slope can be compensated by a larger sample size

Asymptotic Relative Efficiency – Idea

- › Consider two tests based on the test statistic T_n resp. $\tilde{T}_n$
 - › Asymptotic mean and standard deviation: $\mu(\cdot)$ resp. $\tilde{\mu}(\cdot)$, $\sigma(\cdot)$ resp. $\tilde{\sigma}(\cdot)$
- › Asymptotic relative efficiency: square of ratio of test slopes

$$\text{are}(T_n, \tilde{T}_n) = \left(\frac{\mu'(0)/\sigma(0)}{\tilde{\mu}'(0)/\tilde{\sigma}(0)} \right)^2$$

- › If $\text{are}(T_n, \tilde{T}_n) > 1$, then T_n is **more efficient** than $\tilde{T}_n$
- › If $\text{are}(T_n, \tilde{T}_n) < 1$, then T_n is **less efficient** than $\tilde{T}_n$

Asymptotic Relative Efficiency – Idea

- Consider two tests based on the test statistic T_n resp. $\tilde{T}_n$
 - Asymptotic mean and standard deviation: $\mu(\cdot)$ resp. $\tilde{\mu}(\cdot)$, $\sigma(\cdot)$ resp. $\tilde{\sigma}(\cdot)$
- Asymptotic relative efficiency: square of ratio of test slopes

$$\text{are}(T_n, \tilde{T}_n) = \left(\frac{\mu'(0)/\sigma(0)}{\tilde{\mu}'(0)/\tilde{\sigma}(0)} \right)^2$$

- If $\text{are}(T_n, \tilde{T}_n) > 1$, then T_n is **more efficient** than $\tilde{T}_n$
- If $\text{are}(T_n, \tilde{T}_n) < 1$, then T_n is **less efficient** than $\tilde{T}_n$
- $\text{are}(T_n, \tilde{T}_n)$ depends on the type of **shift alternatives** $F_\theta(\cdot) = F_0(\cdot - \theta)$
 - As the asymptotic distribution of T_n and $\tilde{T}_n$ for $\theta = 0$ depends on F_0

t s w				t s w				t s w				t s w			
t	1			t	1			t	1			t	1		
s	2/ π	1		s	$\pi^2/12$	1		s	1/3	1		s	2	1	
w	3/ π	3/2	1	w	$\pi^2/9$	4/3	1	w	1	3	1	w	3/2	3/4	1
N(0, 1)				Logistic				Uniform				Laplace			

AREs (row over column) of the t (**t**), sign (**s**) and Wilcoxon (**w**) test for shift alternatives of different F_0

Asymptotic Relative Efficiency – Simulation Experiments

```
### Power simulation function
# We simulate normal data under the shift alternative (using theta > 0)
are_sim <- function(B, n, m_0 = 0, theta, sig = 1){
  p_t <- p_s <- p_w <- numeric(B)
  for(i in 1:B){
    x <- rnorm(n, mean = m_0 + theta, sd = sig)
    # The true median is m = m_0 + theta (m > m_0, as theta > 0)
    # H_0: m <= m_0, H_1: m > m_0
    p_t[i] <- t.test(x, alternative = "g", mu = m_0)$p.value
    p_s[i] <- binom.test(sum(x > m_0), n, p = 0.5, alternative = "g")$p.value
    p_w[i] <- wilcox.test(x, alternative = "g", mu = m_0)$p.value
  }
  # Power approximated via fraction of (correctly) rejected tests
  power_t <- mean(p_t < 0.05)
  power_s <- mean(p_s < 0.05)
  power_w <- mean(p_w < 0.05)
  # AREs (ratios)
  c(are_st = power_s/power_t, are_wt = power_w/power_t)
}

### AREs computed via simulation
set.seed(123)
are_sim(B = 10^3, n = 10^2, m_0 = 0, theta = 0.1, sig = 1)

##      are_st      are_wt
## 0.6549020 0.9843137

### Theoretical AREs
c(2/pi, 3/pi)

## [1] 0.6366198 0.9549297
```

Asymptotic Relative Efficiency – Further Considerations

- ARE can be interpreted in terms of **sample sizes**: ratio of the numbers of observations needed for the two tests to have approximately equal asymptotic power (given α)
 - Take T_n and $\tilde{T}_m$ with $\frac{m}{n} = \text{are}(T_n, \tilde{T}_m) \rightsquigarrow$ the tests have ca. **equal** power

```
B <- 10^3; p_t <- p_s <- p_sm <- numeric(B)
n <- 10^2; m <- round((pi/2) * n); set.seed(123)
for(i in 1:B){
  x_n <- rnorm(n, mean = 0.1, sd = 1); x_m <- rnorm(m, mean = 0.1, sd = 1)
  p_t[i] <- t.test(x_n, alternative = "g", mu = 0)$p.value
  p_s[i] <- binom.test(sum(x_n > 0), n, p = 0.5, alternative = "g")$p.value
  p_sm[i] <- binom.test(sum(x_m > 0), m, p = 0.5, alternative = "g")$p.value
}
c(pow_t = mean(p_t < 0.05), pow_s = mean(p_s < 0.05), pow_sm = mean(p_sm < 0.05))

## pow_t pow_s pow_sm
## 0.277 0.173 0.244
```


Asymptotic Relative Efficiency – Further Considerations

	t	s	w
t	1		
s	$2/\pi$	1	
w	$3/\pi$	$3/2$	1
$N(0, 1)$			

	t	s	w
t	1		
s	$\pi^2/12$	1	
w	$\pi^2/9$	$4/3$	1
Logistic			

	t	s	w
t	1		
s	$1/3$	1	
w	1	3	1
Uniform			

	t	s	w
t	1		
s	2	1	
w	$3/2$	$3/4$	1
Laplace			

- The Wilcoxon signed rank test is a serious competitor of the t -test
 - Small loss of efficiency when t is optimal: $are(\mathbf{w}, \mathbf{s}) = 3/\pi \approx 0.95$
 - Potential big gain in efficiency when t is not optimal (e.g. Laplace data)
- The sign test is nonparametric against all alternatives
 - Wilcoxon and t require symmetry resp. normality

Asymptotic Relative Efficiency – Further Considerations

- ARE can be interpreted in terms of **sample sizes**: ratio of the numbers of observations needed for the two tests to have approximately equal asymptotic power (given α)
 - Take T_n and $\tilde{T}_m$ with $\frac{m}{n} = \text{are}(T_n, \tilde{T}_m) \rightsquigarrow$ the tests have ca. **equal** power

```
B <- 10^3; p_t <- p_s <- p_sm <- numeric(B)
n <- 10^2; m <- round((pi/2) * n); set.seed(123)
for(i in 1:B){
  x_n <- rnorm(n, mean = 0.1, sd = 1); x_m <- rnorm(m, mean = 0.1, sd = 1)
  p_t[i] <- t.test(x_n, alternative = "g", mu = 0)$p.value
  p_s[i] <- binom.test(sum(x_n > 0), n, p = 0.5, alternative = "g")$p.value
  p_sm[i] <- binom.test(sum(x_m > 0), m, p = 0.5, alternative = "g")$p.value
}
c(pow_t = mean(p_t < 0.05), pow_s = mean(p_s < 0.05), pow_sm = mean(p_sm < 0.05))

## pow_t pow_s pow_sm
## 0.277 0.173 0.244
```

Two-Sample Problems

Two-Sample Problems – Idea

- › Goal: compare two univariate samples with each other
 - › Paired data: $(X_1, Y_1), \dots, (X_n, Y_n)$
 - › Unpaired data: $X_1, \dots, X_m$ and $Y_1, \dots, Y_n$

Two-Sample Problems – Idea

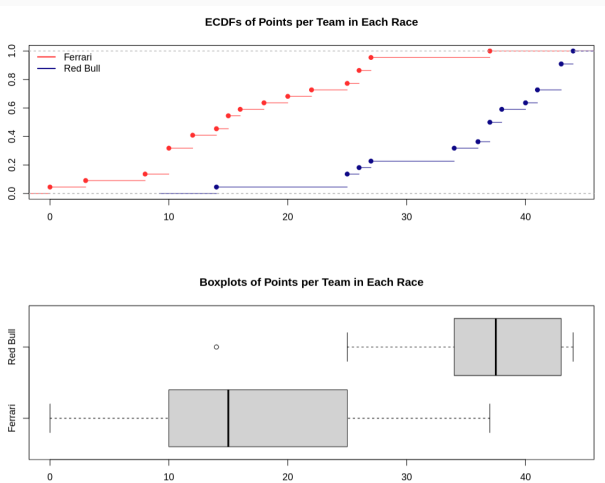
- › Goal: compare two univariate samples with each other
 - › Paired data: $(X_1, Y_1), \dots, (X_n, Y_n)$
 - › Unpaired data: $X_1, \dots, X_m$ and $Y_1, \dots, Y_n$
- › Unpaired: two independent samples $X_1, \dots, X_m \stackrel{i.i.d}{\sim} F$ and $Y_1, \dots, Y_n \stackrel{i.i.d}{\sim} G \rightsquigarrow$ Test hypotheses $H_0 : F = G$ vs. $H_0 : F \neq G$
 - › One-sided alternatives are also possible (stochastically smaller/larger)
 - › Assume F and G are continuous (if ties are present, use pseudo ranks)
 - › To test shift-alternatives: median test, Wilcoxon two-sample test
 - › To test different ‘shapes’: Kolmogorov-Smirnov two-sample test
 - › Permutation test(s)

Two-Sample Problems – Idea

- **Goal:** compare two univariate samples with each other
 - **Paired** data: $(X_1, Y_1), \dots, (X_n, Y_n)$
 - **Unpaired** data: $X_1, \dots, X_m$ and $Y_1, \dots, Y_n$
- **Unpaired:** two independent samples $X_1, \dots, X_m \stackrel{i.i.d}{\sim} F$ and $Y_1, \dots, Y_n \stackrel{i.i.d}{\sim} G \rightsquigarrow$ Test hypotheses $H_0 : F = G$ vs. $H_0 : F \neq G$
 - One-sided alternatives are also possible (stochastically smaller/larger)
 - Assume F and G are continuous (if ties are present, use pseudo ranks)
 - To test shift-alternatives: median test, Wilcoxon two-sample test
 - To test different ‘shapes’: Kolmogorov-Smirnov two-sample test
 - Permutation test(s)
- **Paired:** n independent bivariate random vectors $(X_1, Y_1), \dots, (X_n, Y_n)$
 $\rightsquigarrow$ Test hypotheses $H_0 : \text{independence}$ vs. $H_1 : \text{dependence}$
 - $H_0 : X_i$ and Y_i are independent, $i = 1, \dots, n$
 - Spearman and Kendall rank correlation tests
 - Permutation test(s)

(Unpaired) Two-Sample Problem – Example: F1 in 2023

- > Is **Ferrari's** performance significantly worse than **Red Bull's**?
 - > $m = n = 22$ (races), sum points of both drivers in each race
 - > Formally: $H_1 : \text{ferrari} <_{st} \text{redbull}$, i.e. $F_F(u) > F_{RB}(u)$ for all u



Median Test

- › Test statistic: $Z = \#(i = 1, \dots, m : X_i \leq \text{med}(X_1, \dots, X_m, Y_1, \dots, Y_n))$
- › Null distribution: $Z \sim \text{Hypergeom}(m + n, m, p)$ with $p = \lfloor \frac{m+n+1}{2} \rfloor$ draws without replacement
 - › Analogous distribution under H_0 as: randomly select (without replacement) p elements from the combined sample and count the number Z of those belonging to the 'X sample'
 - › Large values of Z are more likely when $\mathbb{P}(Y > X) > 1/2$
 - › Nonparametric test
- › Rarely used nowadays
 - › Has smaller power than Wilcoxon two-sample (Mann-Whitney) test
 - › Not readily available in R
 - › However, it can easily be coded using the cumulative distribution function of the hypergeometric distribution (see ?"phyper") to compute p -values

Wilcoxon Two-Sample Test

- › Test statistic: $W = \sum_{i=1}^n R_i$, where R_i denotes the rank of Y_i in the combined sample. Equivalent test statistics are:
 - › $U = \sum_{i=1}^m \sum_{j=1}^n 1_{\{X_i < Y_j\}} = W - \frac{1}{2}n(n+1)$
 - › $\tilde{W} = \sum_{i=1}^m S_i$, where S_i denotes the rank of X_i in the combined sample
 - › $\tilde{U} = \tilde{W} - \frac{1}{2}m(m+1) \rightsquigarrow$ used by 

Wilcoxon Two-Sample Test

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 - › $\tilde{W} = \sum_{i=1}^m S_i$, where S_i denotes the rank of X_i in the combined sample
 - › $\tilde{U} = \tilde{W} - \frac{1}{2}m(m+1) \rightsquigarrow$ used by 
- › **Null distribution:** normal approximation can be used

```
# Note direction of the alternative: "less" (!)
# This is as R uses what we called tilde(U)) (called W in R output)
# Test statistic tilde(U) depends on sum of ranks of X sample
wilcox.test(ferrari, red_bull, alternative = "less", paired = FALSE)

## Warning in wilcox.test.default(ferrari, red_bull, alternative = "less", :
## cannot compute exact p-value with ties
##
## Wilcoxon rank sum test with continuity correction
##
## data:  ferrari and red_bull
## W = 34, p-value = 5.331e-07
## alternative hypothesis: true location shift is less than 0
```

Kolmogorov-Smirnov Two-Sample Test

› Test statistic:

$$\begin{aligned} D &= \sup_{-\infty < x < \infty} \left| \hat{F}_m(x) - \hat{G}_n(x) \right| \\ &= \max_{1 \leq i \leq n} \max \left\{ \left| \frac{1}{m}(R_{(i)} - i) - \frac{i}{n} \right|, \left| \frac{1}{m}(R_{(i)} - i) - \frac{i-1}{n} \right| \right\} \end{aligned}$$

› $R_{(i)}$ denotes the rank of Y_i in the combined sample

Kolmogorov-Smirnov Two-Sample Test

› Test statistic:

$$D = \sup_{-\infty < x < \infty} \left| \hat{F}_m(x) - \hat{G}_n(x) \right|$$
$$= \max_{1 \leq i \leq n} \max \left\{ \left| \frac{1}{m}(R_{(i)} - i) - \frac{i}{n} \right|, \left| \frac{1}{m}(R_{(i)} - i) - \frac{i-1}{n} \right| \right\}$$

› $R_{(i)}$ denotes the rank of Y_i in the **combined** sample

› **Null distribution**: depends on m and n , but not on F or G

› We **reject** $H_0 : F = G$ for large values of D

› See below for one-sided alternative in 

```
# Note direction of the alternative: "greater" (!)
ks.test(ferrari, red_bull, alternative = "greater")

##
## Exact two-sample Kolmogorov-Smirnov test
##
## data: ferrari and red_bull
## D+ = 0.72727, p-value = 1.846e-06
## alternative hypothesis: the CDF of x lies above that of y
```

Permutation Test – Permutations

- › Denote by $Z_{(1)} \leq \dots \leq Z_{(m+n)}$ the ordered combined sample and by $Z_{(\pi_1)}, \dots, Z_{(\pi_{m+n})}$ a given permutation thereof
 - › That is, $(\pi_1, \dots, \pi_{m+n})$ is a permutation of $\{1, 2, \dots, m+n\}$.

- › Then

$$P((X_1, \dots, X_m, Y_1, \dots, Y_n) = (Z_{(\pi_1)}, \dots, Z_{(\pi_{m+n})})) = \frac{1}{(m+n)!}$$

- › The probability that the ordering $X_1, \dots, X_m, Y_1, \dots, Y_n$ is obtained by rearranging $Z_{(1)} \leq \dots \leq Z_{(m+n)}$ by the permutation $\pi_1, \dots, \pi_{m+n}$ equals
$$\frac{1}{\# \text{ permutations of } \{1, \dots, m+n\}}.$$

Permutation test – Null distribution

- › The test uses some **test statistic** T that quantifies the difference between the two samples
 - › Assume very large (or very small) values of T lead to the **rejection** of H_0
 - › For example, $T = \bar{X} - \bar{Y}$
 - › t is the **observed** value of T in the original sample
- › **Null distribution**: the right p -value (the left one is analogous) can be computed as

$$\begin{aligned} P(T \geq t | Z_{(1)} \leq \dots \leq Z_{(m+n)}) \\ = \frac{\#(\text{permutations } \pi \text{ with } T(Z_{(\pi_1)}, \dots, Z_{(\pi_{m+n})}) \geq t)}{(m+n)!} \end{aligned}$$

- › There are $(m+n)!$ possible permutations $\rightsquigarrow$ can be **too large**
- › In practice, a subset of randomly chosen ones is then used to approximate the p -value $\rightsquigarrow$ **bootstrap** 😊

Tests for Correlation

Tests for Correlation – Idea

- › Setup: n independent bivariate random vectors $(X_1, Y_1), \dots, (X_n, Y_n)$
 - ↪ Test hypotheses H_0 : independence vs. H_1 : dependence
 - › Independence hypothesis: X_i is independent of $Y_i, i = 1, \dots, n$
 - › If $(X_i, Y_i) \sim N_2(\mathbf{0}, \Sigma_{2 \times 2})$, one can use $r_{xy} \stackrel{H_0}{\sim} t_{n-2}$

Tests for Correlation – Idea

- › **Setup:** n independent **bivariate** random vectors $(X_1, Y_1), \dots, (X_n, Y_n)$
 $\rightsquigarrow$ Test hypotheses H_0 : independence vs. H_1 : dependence
 - › **Independence** hypothesis: X_i is independent of $Y_i, i = 1, \dots, n$
 - › If $(X_i, Y_i) \sim N_2(\mathbf{0}, \Sigma_{2 \times 2})$, one can use $r_{xy} \stackrel{H_0}{\sim} t_{n-2}$
- › If the normality assumption is not fulfilled, use **ranks**...
 - › $S_1, \dots, S_n$: **ranks** of $X_1, \dots, X_n$ in $X_{(1)} \leq \dots \leq X_{(n)}$
 - › $R_1, \dots, R_n$: **ranks** of $Y_1, \dots, Y_n$ in $Y_{(1)} \leq \dots \leq Y_{(n)}$
 - › If $X_1, \dots, X_n$ are independent from $Y_1, \dots, Y_n$, then $S_1, \dots, S_n$ and $R_1, \dots, R_n$ are as well ($\rightsquigarrow$ random permutations of $1, \dots, n$)
 - › Otherwise, we expect the two sequences of ranks to run **in parallel** (**positive** dependence) or in **opposite directions** (**negative** dependence)
 - › Tests based solely on the vectors of ranks are **nonparametric** under H_0 (if ties occur, this holds conditionally on the pattern of ties)
- › ... or **permutations**

Spearman's Rank Correlation Test

- › Test statistic:
$$r_s = \frac{\sum_{i=1}^n (R_i - \bar{R})(S_i - \bar{S})}{\left[\sum_{i=1}^n (R_i - \bar{R})^2 \sum_{i=1}^n (S_i - \bar{S})^2 \right]^{1/2}}$$
 - › Sample correlation coefficient of the vectors of ranks
- › Equivalent test statistic:
$$L = \sum_{i=1}^n (R_i - S_i)^2$$
 - › Null distribution of L : normal approximation can be used

```
TV <- openintro::gradestv$tv
grades <- openintro::gradestv$grades
cor.test(TV, grades, method = "spearman")
```

```
## Warning in cor.test.default(TV, grades, method = "spearman"): Cannot compute
## exact p-value with ties
```

```
##
## Spearman's rank correlation rho
##
## data: TV and grades
## S = 4090.8, p-value = 0.002732
## alternative hypothesis: true rho is not equal to 0
## sample estimates:
## rho
## -0.5733909
```

Kendall's Rank Correlation Test

- › Test statistic: $\tau = \frac{\sum_{i \neq j} \text{sgn}(R_i - R_j) \text{sgn}(S_i - S_j)}{n(n-1)} = \frac{4N_\tau}{n(n-1)} - 1$
- › Equivalent test statistic: $N_\tau = \#\{\text{pairs } i < j: [X_i < X_j \text{ \& } Y_i < Y_j] \text{ or } [X_i > X_j \text{ \& } Y_i > Y_j]\}$

```
cor.test(TV, grades, method = "kendall")

## Warning in cor.test.default(TV, grades, method = "kendall"): Cannot compute
## exact p-value with ties

##
##  Kendall's rank correlation tau
##
## data:  TV and grades
## z = -3.199, p-value = 0.001379
## alternative hypothesis: true tau is not equal to 0
## sample estimates:
##      tau
## -0.469793
```

Permutation Test for Independence

- › Consider the **ordered sample** $Y_{(1)} \leq \dots \leq Y_{(n)}$ and a given **permutation** thereof, denoted by $Y_{(\pi_1)}, \dots, Y_{(\pi_n)}$
- › The test uses some **test statistic** T that quantifies dependence between the two samples
 - › Assume large values of T express **positive** dependence
 - › For example, $T = r_{xy}$ or $T = r_s$
- › **Null distribution**: the right p -value (the left one is analogous) can be computed as

$$\begin{aligned} P_{H_0} (T \geq t | X_1, \dots, X_n, Y_{(1)}, \dots, Y_{(n)}) \\ = \frac{\# (\text{permutations } \pi \text{ with } T (X_1, \dots, X_n, Y_{(\pi_1)}, \dots, Y_{(\pi_n)}) \geq t)}{n!} \end{aligned}$$

- › There are $n!$ possible permutations $\rightsquigarrow$ can be **too large**
- › In practice, a subset of randomly chosen ones is then used to approximate the p -value $\rightsquigarrow$ **bootstrap** 😊

Summary and wrap-up

Summary

› Asymptotic relative efficiency

- › Compare the slope of two different tests for the same hypothesis
- › Interpretation: $\tilde{T}_n$ requires $\text{are}(T, \tilde{T}_n) \times n$ data to be as efficient as T_n .

› Two-sample problems – unpaired data

- › Median test: Check whether the expected amount of X-data falls below the median of the pooled sample
- › Wilcoxon test: Check whether the ranks of the Y data in the pooled sample are large.
- › Kolmogorov-Smirnov test: Compare ECDFs
- › Permutation test: If the data originates from the same distribution, permuting the pooled sample should not change the distribution of the test statistic

› Two-sample problems – paired data

- › Spearman's rank correlation test: Are the ranks of the X and Y data correlated?
- › Kendall's rank correlation test: counts concordant/disordant pairs.
- › Permutation test for independence.

What now?

> To do for now

- > Continue with assignment 5
- > Deadline: 14 April 23:59
- > Good luck!

> Tutorials

- > Only 1 TA present in 4B05, 09:00 – 11:00.